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GRANT HENNING

The Value and Momentum Trader

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The Value and Momentum Trader

*Dynamic Stock Selection Models
to Beat the Market*

GRANT HENNING



WILEY

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*This book is dedicated to
Lydia, Jonathan, Madison, Lincoln, Elgin, and Naomi,
the next generation of faithful stewards.*

Contents

List of Tables and Figures	xv
Foreword	xvii
Preface	xix
Acknowledgments	xxi
 CHAPTER 1 A Philosophy of Trading	 1
Analogies	1
Pragmatism	3
Goal-Oriented Behavior	5
Timing	6
Stocks versus Commodities, Options, Mutual Funds, and Bonds	7
Short Trading	9
Use of Margin	10
Trading and Gambling	11
Bold Passion	12
Summary	13
 CHAPTER 2 Tools of the Trade	 15
Online Access	15
A Reliable Brokerage Account	16
Information	17
Formal Study	18
Analysis Software	20
	vii

Protected Workspace	21
Mathematical Trading Systems	21
Market Timing Indicators	22
Summary	22
 CHAPTER 3 Constructing Mathematical Models for Stock Selection	 25
Technical Approaches to Stock Selection	25
Fundamental Approaches to Stock Selection	26
Hybrid Approaches to Stock Selection	27
The Nature of the Stock Selection Challenge	27
Common Mistakes in System Design for Decision Making	28
Early Beginning Approaches	30
Advantages and Disadvantages of Mathematization	32
Summary	33
 CHAPTER 4 Stock Selection: A Technical-Momentum System	 35
Qualifying Variables	35
Sample Recommendation Summary Table	39
Questions and Answers	40
Summary	44
 CHAPTER 5 Stock Selection: A Fundamental-Value System	 45
Qualifying Variables	45
Fundamental Variables	47
Questions and Answers	55
Summary	57
 CHAPTER 6 Stock Selection: A Technical-Fundamental Hybrid Approach	 59
Qualifying Variables	59
Point-and-Figure Analysis	64

Technical Ratings	64
Other Technical Indicators	65
Price-to-Earnings (PE) Ratio	66
Book Value	67
Earnings Growth	67
EPS/PE Divergence	68
Cash Flow and Free Cash Flow	69
Other Fundamental Indicators	70
Questions and Answers	71
Summary	74

CHAPTER 7 Buying Stocks	75
--------------------------------	-----------

Preparing the Slate of Candidates	75
Gathering Intel	76
Demanding Supply	77
Cost Averaging	77
Limit and Market Orders	78
Avoiding Purchases with Unsettled Funds	82
Summary	82

CHAPTER 8 Selling Stocks	85
---------------------------------	-----------

Setting Targets	86
Setting Partial Targets	86
Using Stop-Loss Orders	87
Culling Out Losers	88
Rank Indicators	88
Holding Limits	89
Breaking the 50-Day Moving Average	90
Identifying Market Downturns	90
Summary	91

CHAPTER 9 Portfolio Management	93
---------------------------------------	-----------

Diversifying Over Stocks	93
Diversifying Over Sectors	95

Record Keeping	95
Proportionality over Portfolios	96
Proportionality over Individual Stocks	97
Turnover Ratio	97
Timing the Market	98
Summary	98
 CHAPTER 10 Market Timing	 99
Mythological Indicators	100
Quasi-Mythological Indicators	101
Reliable Indicators	102
Summary	108
 CHAPTER 11 A Performance Record	 109
Performance Caveats	109
Hindsight is 20/20	112
Summary	113
 CHAPTER 12 A Typical Trading Day	 115
Before the Bell	115
The First Half Hour	117
Midday Monitoring	118
After the Closing	119
Weekends	120
Summary	121
 CHAPTER 13 Threats to Success	 123
Actions of the Federal Reserve Board Open	
Markets Committee	123
Analyst Downgrades	129
“Pump-and-Dump” Ploys	130
Message Board Panning	131
Market Maker Meddling	131
Negative News Events	132

Large Position Dumping	133
Overhead: Taxes, Commissions, Margin Interest, Spreads	134
Summary	135

CHAPTER 14 A Summary of Trading Principles	137
---	------------

Never Follow a Tip without Due Diligence	137
Don't Get Grounded on Low Volume	138
Never Buy at the High for the Day	138
Never Sell at the Low for the Day	138
Remember Why You Bought	139
Don't Get Too Attached to Any Stock	139
Maintain Diversification	140
Don't Overtrade	140
Don't Hesitate to Reacquire a Winner	141
Don't Get Your Guidance from Message Boards	141
Maintain Your Own Trading Identity	142
Read Widely	142
Back Off Periodically	143
Seldom if Ever Buy with Unsettled Funds	143
Look to Sell with the Same Level of Zeal That You Look to Buy	143
Maintain a Trading Journal or Diary	144
Gather Information on Your Holdings Daily	144
Learn from Your Mistakes	145
Don't Damage the Environment for Others	145
Don't Let Yourself Become Discouraged	146
Learn to Time General Market Trends	146
Don't Begrudge the Paying of Dues	147
Set Realistic, Measurable Goals for Trading Gains	147
Don't Take Advice from Investment Professionals	147
Avoid Buying a Stock Immediately After It Has Made a Huge Price Run Up	148
Avoid Selling a Stock Immediately After It Has Had a Huge Loss	148
Maintain Your Discipline	149

Don't Hesitate to Sell Good Stocks When Macro Market Indicators Signal a Downturn	149
Focus More on Avoiding Great Losses than on Making Great Gains	149
Continually Be Watching for Success Predictors	150
Summary	150
CHAPTER 15 Morality in the Marketplace	151
Integrity Defined	152
The Gravity of the Effects of Declining Integrity	153
Conditions that Can Promote the Erosion of Integrity	155
Possible Solutions to the Problems that Promote the Erosion of Integrity	161
Summary	168
CHAPTER 16 Random Walk or Rational Wager	171
Predictability and Probability	173
The Limits of Predictability	174
Following the Numbers or Following the Gurus	176
The Accuracy and Use of Mathematical Models	180
Predictable Market Phenomena	181
Summary	185
CHAPTER 17 On the Nature of Risk	187
The Risks of Risk Management Applied to Market Phenomena	190
Risk and Variance	191
Risk and Compassion	191
Risk and Trust	193
Risk and Wealth	195
Summary	195
CHAPTER 18 Trading in the Information Age	197
The Economy of Abundance	197
A Perspective on Abundance	199

Taking Advantage of Information-Access Opportunities	201
Summary	202
 CHAPTER 19 Using a Trading System with an Excel Spreadsheet	 203
Step 1: Loading the Excel Spreadsheet CD into Your Computer	203
Step 2: Recognizing Information on the Spreadsheet	205
Step 3: Updating Your Spreadsheet	210
Step 4: Running the Analysis	212
Step 5: Interpreting the Results	214
Step 6: Maintaining the Spreadsheet	214
Cautionary Reminders	215
Summary	215
 CHAPTER 20 Afterthoughts	 217
Timing	217
Opportunities	218
Market Trends	219
Lessons from History	220
Conclusion	224
 Bibliography	 225
About the Author	229
About the CD-ROM	231
Index	235

List of Tables and Figures

Table 2.1	Stock Trading Websites	18
Table 2.2	Foundational Readings	19
Table 4.1	A Growth-Momentum Strategy for Stock Selection (1/2008)	36
Table 4.2	Growth-Momentum Selection Recommendations Summary (1/2008)	40
Table 5.1	One Year EPS and PE Divergence for DMND (2007–2008)	50
Table 5.2	A Preliminary Fundamental-Value Selection Strategy for Stocks (August 2008)	52
Table 5.3	Preliminary Stock Selection Recommendations According to a Fundamental-Value System	52
Table 5.4	A Revised Fundamental-Value Selection Strategy for Stocks (August, 2008)	54
Table 5.5	Revised Summary Stock Selection Recommendations According to a Fundamental-Value System	54
Table 6.1	Phase One of a Technical-Fundamental Hybrid Stock Selection System	61
Table 6.2	Phase Two of a Technical-Fundamental Hybrid Stock Selection System	63
Table 6.3	Phase Three of a Technical-Fundamental Hybrid Stock Selection System	66
Table 6.4	Phase Four of a Technical-Fundamental Hybrid Stock Selection System	70
Table 10.1	Put/Call Ratio Signals and Volatility Index Signals versus the S&P 500 Index for One Year—Peaks and Valleys (11/10/07 through 11/14/08)	106
Table 11.1	Five-Year Trading System Gains (1/03–10/08)	111

Table 13.1	The Relationship between the FOMC Target Lending Rate and the S&P 500 Index, Unemployment Rate, Inflation Rate, and Misery Index (1990–2008)	125
Table 15.1	Levels of Personal Consumption	165
Table 17.1	The Risk/Reward/Trust Contingency	194
Table 19.1	Sample Excel Spreadsheet with Initial Momentum Segment of Analysis for 50 Stocks as of October, 10, 2008 (Part 1)	204
Table 19.2	Sample Excel Spreadsheet with Technical Segment of Analysis for 50 Stocks as of October, 10, 2008 (Part 2)	206
Table 19.3	Sample Excel Spreadsheet with Fundamental and Final Segments of Analysis for 50 Stocks as of October, 10, 2008 (Part 3)	208
Figure 10.1	The Relationship between the CBOE Volatility Index and the DJIA from October 2007 to November 2008	103
Figure 17.1	The Normal Distribution	188

Foreword

Each year during the past five years, Dr. Grant Henning has been invited to speak to a group of finance-majored students at the Smeal College of Business of The Pennsylvania State University about his personal investment experience and his trading system. His speeches have always been well received. When he asked me to write this foreword, I was honored, knowing the immense investment performance and experience he has in the market. As a colleague of Grant at The Pennsylvania State University, I have personal knowledge of his qualifications and ability as an active trader and I am glad that he has put the results of his 20 years of research into this book. I wish I had read this book years ago, and I enjoy reading it today, finding pearls of wisdom to improve my own trading.

Grant's approach to the market, and in this book, is both unique and integrated. He is not simply a fundamentalist, a technical analyst, a value investor, or a momentum investor, but rather he is a pragmatist. Over the past 20 years, he has developed a fundamental-technical hybrid system, which has built on the two stock selection systems he developed earlier: (1) a growth-momentum technical system and (2) a value-earnings fundamental system. He has demonstrated that the fundamental variables can provide value information, while the technical variables offer timing information. He has also demonstrated that it is possible to realize an average gain of 10 percent per month through the design of appropriate trading systems and through the skillful implementation of these systems.

Among the various investment approaches, including momentum, value, growth, fundamental and technical analysis, Grant has chosen the best elements of each approach and has fine tuned his trading system according to changes in market conditions. Through his independent research, Grant has designed a trading system that works well in both bull and bear markets.

I met with Grant last fall (2008) and asked him why he wrote this book and gave away his trading secrets. He laughed and replied "My approach to trading does not produce zero-sum gains. If other people end up chasing the same stocks that I am chasing, that will only drive their prices higher.

Thus, it could be argued that the more persons there are who adopt these trading systems, the better it will be for me and for them.”

This book is valuable to everyone who is interested in personal investment, irrespective of his or her background and expertise in the stock market. It relates the obvious as well as the more subtle nuances of stock selection process that distinguish between successful and unsuccessful traders. To become successful investors and traders, all you need is to take this knowledge and to work with it.

DR. CHARLES CAO
Smeal Chair Professor of Finance
The Pennsylvania State University
University Park, Pennsylvania
May 2009

Preface

This book is offered as a resource to those who seek success in stock market trading. I especially wish to pass it on to my children and grandchildren and nephews and nieces as a tool for good stewardship of the resources that have been entrusted to them. I am keenly aware of the fact that there are many books written on the subject of stock market trading, and many of them are in my own library. However, you will find this book unique in that it actually describes several mathematical models for stock selection. It therefore has potential for greatly enhancing performance over most other anecdotal references. In the best of worlds, readers will adapt these models to their own needs and trading styles and will add their own personal refinements.

There are many ways to succeed in stock trading, and this is a summary of only a few of those approaches. However, the methods outlined here have been tried and tested over many months and years of market warfare in both bull markets and bear markets. They are the end products of more than 20 years of trading of stocks, options, mutual funds, and commodities, and the past decade has been one in which I have traded for a living. They are offered in the profound belief that market activity is not random, but like other natural phenomena in the wider creation, it follows certain predictable patterns and rules. As Albert Einstein once mused, “God does not play dice with the universe,” and I believe this is as true in market phenomena as it is in weather patterns or in the motions of planetary bodies. If we look carefully, we can see that market undulations can be as beautiful as the waves of the sea washing on the shoreline. There is both science and art here, like surfing on a perfect wave, and the sheer thrill of interacting with rhythmic market phenomena is difficult to match in any other profession. Perhaps this is why Einstein is also reported to have said that, if he had it to do over again, he would have become a professional stock trader.

As I share the information in this book, I am mindful of the day my father proudly announced to me that he had imparted skills to me that would enable me to make a living in any economic situation that might present itself. He had taught my brothers and me his trade of landscape

gardening—how to plant and maintain lawns and gardens. Although I have never subsequently practiced landscape gardening for a living, but only as a hobby, I can fully understand his satisfaction at knowing that his children could be self-supporting. It is with a similar satisfaction that I am sharing what I have learned about stock market trading. I am fully convinced that, if done correctly, this is an income-producing pursuit that can enable ordinary people who do not own a seat on any stock exchange to become self-supporting and can be of benefit to individuals and communities. It is also a way to take advantage of one of the key benefits we are offered as citizens of a free, democratic, and capitalistic society—that is, the right to own shares in our public corporations and to exchange those shares actively in a beneficial manner.

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Special thanks are due to my editor, Bill Falloon, for his supportiveness and wise guidance regarding matters of title choice, cover design, CD concept, and a myriad of other editorial details. My thanks also to the editorial staff of John Wiley & Sons, especially Meg Freeborn for the really important and difficult professional work of putting the manuscript into final book format.

In addition I want to thank Professor Charles Cao of The Pennsylvania State University Smeal College of Business Department of Finance for his helpful encouragement and collegial friendship extending over many years.

Thanks to my wife Ruth for her lasting encouragement, gifted exhortation, and the constant reminder that all things are possible with the enablement that comes through trust.

Most of all, my thanks are due to my son Jeffrey for his trading insights, frequent phone calls, race car and other analogies, enthusiastic feedback, and the creative divergence variable that has proven to be another window on market inefficiency.

The Value and Momentum Trader

CHAPTER 1

A Philosophy of Trading

What is trading after all? How can it best be understood? What are its possibilities, limitations, and goals? Is it subject to moral and ethical constraints? Can there be an underlying philosophy of trading? These are some of the questions that are considered in this initial chapter.

ANALOGIES

Stock market trading can be both highly rewarding and extremely dangerous to your financial health. It is a kind of perpetual warfare with many enriching spoils and hidden hazards. It is like climbing in steep, rocky terrain with the simultaneous reward of new vistas and the peril of falling. It often reminds me of the passage in Psalm 18 where David recounts that God “makes my feet like hind’s feet, and sets me on my high places.” If you have ever watched a mountain goat run up a steep mountain precipice, you get the picture. It takes special feet there to avoid catastrophic falls. Whether those “trading feet” need be a created endowment or an acquired trait is an open question. What is clear is that not every person should get involved in stock trading, and no one should rush into it without thorough preparation. There is a saying that “To fail to prepare is to prepare to fail,” and nowhere is this more certain than in the domain of equities trading.

Trading is analogous to farming, where the farmer must carefully choose the crop to be planted and the appropriate location of the fields for planting that particular crop. It is then necessary to prepare the soil